Type MS · Product life cycle and extension strategies

Answer 1 of 10 · Question 2 part e · 3 marks

2019 JUN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for any valid piece of information in the context of the business. • Discount off any shoes for friends and family **(1).** • Allow employees to gain a qualification in customer service **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for any valid piece of information in the context of the business. • Gain more knowledge about shoes/accessories **(1).** • Receive training at a college on selling men and children's shoes **(1).** **Accept any other appropriate response.**	**(1)**

Type MS · Product life cycle and extension strategies

Answer 1 of 10 · Question 2 part e · 3 marks

2019 JUN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**AO1 - 3 marks** Award 1 mark for identification of a reason for having a human resource functional area, plus 2 further marks for explaining this reason for a business, for a maximum of 3 marks. • A reason is to recruit employees **(1).** It will identify a vacancy in the business and seek to fill it **(1)** having found the right person for that role **(1).** Answers that list more than one reason with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (d)	**AO1 - 3 marks** Award 1 mark for identification of method, plus 2 further marks for explaining this method, for a maximum of 3 marks. • A business could use television advertising **(1).** This can be seen by large numbers of people raising awareness **(1)** resulting in an increase in sales for a business **(1).** Answers that list more than one method with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Product life cycle and extension strategies

Answer 1 of 10 · Question 2 part e · 3 marks

2019 JUN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of one way the product life cycle can be extended, plus 2 further marks for explaining the way, for a maximum of 3 marks. • A business could change the packaging of its product **(1),** this could be done by brightening up old packaging or adding extras to the packaging **(1).** This could result in more repeat purchase as well as new custom **(1).** Answers that list more than one way with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Product life cycle and extension strategies

Answer 1 of 10 · Question 2 part e · 3 marks

2019 JUN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 –*Backyard Shoez* could give bonuses for the person who has achieved the highest shoes sales within a month. • Option 2 – *Backyard Shoez* could use job enrichment to give their employees greater responsibilities within the shoe shop. **AO3** • Options 1 – The employees may be encouraged to work harder and compete against each other to gain the highest shoe sales for the bonus. • Option 2 – This will motivate employees as they can see they are being given the opportunity to use their abilities within the shoe shop as they are trusted by *Backyard Shoez.* **AO4** • Option 1 – However, if an employee cannot continually achieve the highest shoes sales then they may become demotivated and this could have the opposite effect. • Option 2 – However, some employees may resent not being chosen for job enrichment as therefore may become demotivated.	**(9)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Product life cycle and extension strategies

Answer 1 of 10 · Question 2 part e · 3 marks

2019 JUN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Product life cycle and extension strategies

Answer 1 of 10 · Question 2 part e · 3 marks

2019 JUN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Product life cycle and extension strategies

Answer 2 of 10 · Question 1 part a.ii · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 5 · find part a.ii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B -** Overdraft	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **C –** Maturity	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **D -** Rent for *Lavender*'s businesses	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **A–** Health and safety	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** 11 250	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **D** - 8 514.00	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of short-term finance. Money borrowed that must be paid back within 12 months **(1).**	**(1)**

Type MS · Product life cycle and extension strategies

Answer 2 of 10 · Question 1 part a.ii · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 5 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of above the line promotion. The use of mass media methods to promote to a large audience **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a correct reason why *Lavender* would recruit internally in the context of the business. • Employees will know how the different outlets operate such as *L.cafe* **(1).** • Employee will already have knowledge of the cakes made by the business **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 25 x 12 = 300 15/100 x 300 = 45 300 – 45 **(1).** = 255 **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Product life cycle and extension strategies

Answer 2 of 10 · Question 1 part a.ii · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 5 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for identification of an advantage, plus 2 further marks for explaining how this advantage will affect the business for a maximum of 3 marks. • The franchisee invests in a tried and tested business **(1)** and gets advice and training from the franchisor **(1)** this reduces the risk of failure **(1).** Answers that list more than one advantage with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Product life cycle and extension strategies

Answer 2 of 10 · Question 1 part a.ii · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 5 · find part a.ii in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Satisfied customers are more likely to repeat purchase of cakes from *Lavender* bakery. • *Lavender* is expanding into different types of food outlets such as *L.bistro, L.cafe* and *L.table.* **AO3** • This leads to an increase in sales and customer loyalty so *Lavender* could end up spending less on promoting their products as satisfied customers will recommend other *Lavender* businesses to their friends and family through word of mouth. • Customer satisfaction in one outlet may lead to customers trying other outlets leading to improved revenues.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Product life cycle and extension strategies

Answer 2 of 10 · Question 1 part a.ii · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 5 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark

1 (a) (i)	**AO1 - 1 mark** **D –** Share capital	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **B -** Age	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **A –** Market research	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** – Total costs and revenue are the same	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 - 1 mark** **B –** €34 800	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **C -** €5 962	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of insolvency. • When a business can no longer meet its debts **(1)**.	**(1)**

Type MS · Product life cycle and extension strategies

Answer 3 of 10 · Question 1 part c · 1 mark

2019 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of product life cycle. • The stages a product will pass through from its introduction, through to growth, maturity and then decline **(1)**.	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why an employee could be dismissed in the context of the business. • Arriving late on the production line **(1)**. • Stealing an item such as a tyre **(1)**. **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 89,841 x .23 **(1)** = 20,663.43 89,841 + 20,663 = 110,504 **(1)** **OR** 123/100 x 89,841 **(1)** **=** 110,504 **(1)**	Award 1 mark for correctly substituting numbers into the formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Product life cycle and extension strategies

Answer 3 of 10 · Question 1 part c · 1 mark

2019 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an impact of technology on production, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Fewer people required to work in the factories doing repetitive jobs **(1)** people get bored doing these jobs and make mistakes **(1).** Less employees brings the cost of goods down **(1).** • More robots are manufacturing the vehicles than previously **(1)** this means that the vehicles can be manufactured in any country **(1)** therefore the business could move to a cheaper country **(1).** Answers that list three impacts with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**3)**

Type MS · Product life cycle and extension strategies

Answer 3 of 10 · Question 1 part c · 1 mark

2019 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Tata Motor Company* highlights that it helps the local community with building schools/working on the environment. • *Tata Motor Company* also invests heavily in the health and welfare of people and the community. **AO3** • The public are more likely to think highly of *Tata Motor Company* if it is using the profits from its business to help local communities. • If there is any bad publicity about the vehicles sold then it could have a negative effect on the business.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Product life cycle and extension strategies

Answer 3 of 10 · Question 1 part c · 1 mark

2019 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark

Type MS · Product life cycle and extension strategies

Answer 4 of 10 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 01 (regional R) · extract 1 of 6 · find part a.iv in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D – Personal satisfaction** A is not correct because it is a financial business objective B is not correct because it is a financial business objective C is not correct because it is a financial business objective	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 = 1 mark** **The only correct answer is A - Rising star** B is not correct because it is a process carried out for health and safety at work C is not correct because it is in relation to branding D is not correct because it is part of the product life cycle	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 = 1 mark** **The only correct answer is B - Bonus** A is not correct because it is a financial method of motivation that is not added to a basic wage C is not correct because it is a non-financial method of motivation that is not added to a basic wage D is not correct because it is a method of payment where workers get paid for each item produced	**(1)**

Type MS · Product life cycle and extension strategies

Answer 4 of 10 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 01 (regional R) · extract 2 of 6 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iv)	**AO1 = 1 mark** **The only correct answer is A - Growth** B is not correct because this is phase 4 on figure 1 C is not correct because this is phase 1 on figure 1 D is not correct because this is phase 3 on figure 1	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 = 1 mark** **The only correct answer is B - 150%** A is not correct because this is profit per item C is not correct because this is selling price per course + cost per item D is not correct because this is selling price per course/ cost per item x100	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 = 1 mark** **The only correct answer is D - 9 675.90 JPY** A is not correct because this is the cost of the course B is not correct because this is the exchange rate of the JPY C is not correct because this is the cost of the course multiplied by 148	**(1)**

Type MS · Product life cycle and extension strategies

Answer 4 of 10 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 01 (regional R) · extract 3 of 6 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of capital intensive production. • Production methods that make more use of machinery than labour (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of quantitative data. • Data that is expressed as number (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a reason why Tom Baker operates his business as a social enterprise. • He could use his profits to help his local community (1). **Accept any other appropriate response.**	**(1)**

Type MS · Product life cycle and extension strategies

Answer 4 of 10 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 01 (regional R) · extract 4 of 6 · find part a.iv in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 23 546 x 0.03 = 706.38 (1) 23 546 + 706.38 = 24 252.38 (1) **OR** 23 546 x 103 (1) = 24 252.38 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a method of increasing profit, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Profits could be increased by cutting costs (1). A small business could cut the number of workers it has or reduce their hours (1) so if the revenue stays the same this will increase the profit (1). **NB** Answers that list three methods with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Type MS · Product life cycle and extension strategies

Answer 4 of 10 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 01 (regional R) · extract 5 of 6 · find part a.iv in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • There is more interest in businesses becoming 'green' and *Loaf* provides somewhere for the community to recycle. • *Loaf* operates the 'Waste Not' scheme by giving away waste instead of disposing of it to reduce the amount the business disposes of. **AO3** • If the business is able to recycle packaging then it can cut costs leading to more profit to be contributed back to the local community, customers will be happy about this as they can physically see their local area being helped. • This is important for *Loaf* as customers will be able to see that the business is helping charities, meeting its social objectives and reducing any waste that it produces as a business.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Product life cycle and extension strategies

Answer 4 of 10 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 01 (regional R) · extract 6 of 6 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark

Type MS · Product life cycle and extension strategies

Answer 5 of 10 · Question 2 part b · 1 mark

2023 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid method *Irsi Chocolatier* could use to improve its competitive position in the context of the business. • The chocolate shop may now open on a Monday **(1)** **NB** Do not accept a method that is not in the context of *Irsi Chocolatier* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** way *Irsi Chocolatier* might extend the life cycle of one of its products. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid way *Irsi Chocolatier* might extend the life cycle of a product in the context of the business. • *Irsi Chocolatier* can lower the price of its chocolates **(1)** **NB** Do not accept a way that is not in the context of *Irsi Chocolatier* **Accept any other appropriate response.**	**(1)**

Type MS · Product life cycle and extension strategies

Answer 5 of 10 · Question 2 part b · 1 mark

2023 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** way a business could use e-newsletters. **Answer**	**Mark**
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a way a business could use e-newsletters, plus 2 further marks for explaining this way, for a maximum of 3 marks. • E-newsletters can be personalised based on a customer's previous transactions **(1)** it could include special discounts just for them **(1)** leading to customers being motivated to return **(1)** **NB** Answers that list three ways with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**
Question Number	Explain **one** way a business could use market research information. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a way a business could use market research information, plus 2 further marks for explaining this way, for a maximum of 3 marks. • To find out what customers think of their products **(1)** so they can act on any relevant feedback given **(1)** and therefore better meet the needs of customers **(1)** **NB** Answers that list three ways with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Product life cycle and extension strategies

Answer 5 of 10 · Question 2 part b · 1 mark

2023 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** benefit to a business that has a decentralised organisational structure. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit to a business that has a decentralised organisational structure, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • Employees may be better motivated **(1)** as they can share their ideas with the fellow employees **(1)** and can be part of the decision making process **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Product life cycle and extension strategies

Answer 5 of 10 · Question 2 part b · 1 mark

2023 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	*Irsi Chocolatier* is considering using: **Option 1:** batch production **Option 2:** job production. Justify which **one** of these two options *Irsi Chocolatier* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – batch production would allow different flavours and shapes of chocolate lollipops to be made • **Option 2** – Job production allows *Irsi Chocolatier* to give customers the option of personalised chocolate lollipops **AO3** • **Option 1** – This method will allow *Irsi Chocolatier* to make a certain number of one type of lollipop and then switch to another to give customers a range in lollipops as it does with the chocolates • **Option 2** – This method would give a consistent approach to its customers of personalised products **AO4** • **Option 1** – However, it could be more costly depending on the demand for different shapes and flavours • **Option 2** – However, lollipops are only small items so customers may not want to wait for them to be personalised and may prefer to buy off the shelf to make the transaction quicker	**(9)**

Type MS · Product life cycle and extension strategies

Answer 5 of 10 · Question 2 part b · 1 mark

2023 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Product life cycle and extension strategies

Answer 5 of 10 · Question 2 part b · 1 mark

2023 JUN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Define the term **fringe benefits.** Answer	Mark

Type MS · Product life cycle and extension strategies

Answer 6 of 10 · Question 1 part a.v · 1 mark

2023 JUN · Paper 02 · extract 1 of 7 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **C** Survival **A** - is incorrect as challenge is a non-financial objective **B** - is incorrect as social objectives is a non-financial objective **D** - is incorrect as personal satisfaction is a non-financial objective	**(1)**

Question Number	Which **one** of the following is an advantage to a business of using venture capital? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** The only correct answer is **D** It can receive expert advice **A** - is incorrect as venture capital increases access to other sources of finance **B** - is incorrect as venture capital does not keep ownership within the business **C** - is incorrect as public relations is not affected by venture capital	**(1)**

Question Number	Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **D** 129 955.00 SEK **A** - is incorrect 1 000 ÷ 6.58 = 151.98 SEK **B** – is incorrect 19.75 x 1 000 ÷ 6.58 = 3 001.52 SEK **C** - is incorrect 19.75 x 1 000 = 19 750 SEK	**(1)**

Type MS · Product life cycle and extension strategies

Answer 6 of 10 · Question 1 part a.v · 1 mark

2023 JUN · Paper 02 · extract 2 of 7 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following is the correct markup? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **C** 15.79**%** **A** is incorrect because 4 400 ÷ 3 800 = 1.16% **B** is incorrect because 4 400 – 3 800 = 600 ÷ 4 400 x 100 = 13.64% **D** is incorrect because 4 400 ÷ 3 800 x 100 = 115.79%	**(1)**

Question Number	Which **one** of the following is Phase 3 of the product life cycle? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **D** Maturity **A** is incorrect because phase 4 is decline **B** is incorrect because phase 2 is growth **C** is incorrect because phase 1 is introduction	**(1)**

Question Number	Which **one** of the following are equal in a break-even graph? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **D** Total costs and revenue **A** is incorrect because fixed and variable costs do not indicate the revenue **B** is incorrect because fixed costs and revenue do not take into account variable costs **C** is incorrect because total costs and fixed costs do not take into account revenue	**(1)**

Type MS · Product life cycle and extension strategies

Answer 6 of 10 · Question 1 part a.v · 1 mark

2023 JUN · Paper 02 · extract 3 of 7 · find part a.v in this mark scheme extract

Question Number	Define the term **person specification.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **person specification.** • Details of the qualifications, experience in the person appointed **(1)**	**(1)**

Question Number	Define the term **quality control.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **quality control.** • A product or service that meets the standard set by the business **(1)**	**(1)**

Type MS · Product life cycle and extension strategies

Answer 6 of 10 · Question 1 part a.v · 1 mark

2023 JUN · Paper 02 · extract 4 of 7 · find part a.v in this mark scheme extract

Question Number	State **one** reason why *IKEA* provides induction training for new employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *IKEA* provides induction training for new employees in the context of the business. • New employees are made familiar with the furniture they will be selling in their own *IKEA* stores **(1)** • Staff will know how to show customers how the flat packs for sale are assembled **(1)** **NB** Do not accept a reason that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate to 2 decimal places the gross profit margin for 2020. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 11 725/37 368 x 100 **(1)** = 31.38 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Product life cycle and extension strategies

Answer 6 of 10 · Question 1 part a.v · 1 mark

2023 JUN · Paper 02 · extract 5 of 7 · find part a.v in this mark scheme extract

Question Number	Explain **one** reason why businesses want to use resources effectively in manufacturing. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a reason why businesses want to use resources effectively plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Being effective in the use of resources reduces waste **(1)** this could decrease the amount of inventory held **(1)** thus lowering the expenses of the business **(1)** • If a business uses fewer machines to manufacture goods **(1)** this will make the business more efficient **(1)** allowing for greater productivity **(1)** **NB** No marks are awarded for a definition. Answers that list two reasons with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Product life cycle and extension strategies

Answer 6 of 10 · Question 1 part a.v · 1 mark

2023 JUN · Paper 02 · extract 6 of 7 · find part a.v in this mark scheme extract

Question Number	Analyse the benefits to *IKEA* of all its stores being franchises. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Franchises allow *IKEA* to sell its flat pack products of tables and wardrobes throughout the world • All franchisees pay a percentage of their profit to *IKEA* for the use of its name and furniture **AO3** • *IKEA* benefits because it has many retail stores selling furniture, creating wealth for the business • This allows *IKEA* to gain revenue from every franchised store making it more successful	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Product life cycle and extension strategies

Answer 6 of 10 · Question 1 part a.v · 1 mark

2023 JUN · Paper 02 · extract 7 of 7 · find part a.v in this mark scheme extract

Question Number	State **one** reason why *IKEA* would employ temporary staff. **Answer**	**Mark**

Type MS · Product life cycle and extension strategies

Answer 7 of 10 · Question 1 part d · 1 mark

2024 JUN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Age** **A** is not the correct answer as skills are not protected by legislation **C** is not the correct answer as experience is not protected by legislation **D** is not the correct answer as ability is not protected by legislation	**(1)**

Question Number	Which **one** of the following represents a star product on the Boston matrix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A - High market growth, high market share** **B** is not the correct answer as it is a question mark product **C** is not the correct answer as it is a cash cow product **D** is not the correct answer as it is a dog product	**(1)**

Question Number	Which **one** of the following is the method of production where one unit of output is completed at a time? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D - Job** **A** is not the correct answer as lean is focussed on cutting out waste **B** is not the correct answer as flow is continuous production of the same product **C** is not the correct answer as batch is the production of a batch of one unit before moving on to the next	**(1)**

Type MS · Product life cycle and extension strategies

Answer 7 of 10 · Question 1 part d · 1 mark

2024 JUN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Which **one** of the following is a current asset? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B - cash** **A** is not the correct answer as a vehicle is a non-current asset **C** is not the correct answer as a building is a non-current asset **D** is not the correct answer as a factory is a non-current asset	**(1)**

Question Number	Which **one** of the following is the total cost in euros when buying 20 dog collars from the UK? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C - €630.95** **A** is not the correct answer as €22.56 is £26.50 x €0.84 **B** is not the correct answer as €445.20 is (£26.50/€0.84) x 20 **D** is not the correct answer as €513.20 is (£26.50 - €0.84) x 20	**(1)**

Question Number	Which **one** of the following is the total monthly cost for *PPS*? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is A - €692.50** **B** is not the correct answer as €931.50 is €54 x €17.25 **C** is not the correct answer as €2137.50 is (€54 + €17.25) x 30 **D** is not the correct answer as €2312.50 is ((€54 + €17.25) x 30) + 175	**(1)**

Type MS · Product life cycle and extension strategies

Answer 7 of 10 · Question 1 part d · 1 mark

2024 JUN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Define the term **robotics.** Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **robotics**. • Robots carry out manufacturing process with no human involvement **(1)**	**(1)**

Question Number	Define the term **capital intensive production** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **capital intensive production**. • Production methods that use machinery more than labour **(1)**	**(1)**

Question Number	State **one** extension strategy *PPS* could use to extend the life cycle of the pet accessories. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for an extension strategy *PPS* could use to extend the life cycle of its pet accessories. • *PPS* could change the design of a dog jacket **(1)** • *PPS* could redesign UK dog collars **(1)** **NB** Do not accept an extension strategy that is not in the context of *PPS.* **Accept any other appropriate response.**	**(1)**

Type MS · Product life cycle and extension strategies

Answer 7 of 10 · Question 1 part d · 1 mark

2024 JUN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Calculate the new hourly minimum wage after the increase of 3.5%. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 7.45 x 0.035 = 0.26 **(1)** 7.45 + 0.26 = 7.71 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** reason why many businesses have a human resource function. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for a reason why businesses have a human resource function, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • To recruit employees **(1)** by identifying a vacancy in the business **(1)** and finding the right person for that vacancy **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Product life cycle and extension strategies

Answer 7 of 10 · Question 1 part d · 1 mark

2024 JUN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Question Number	Analyse the usefulness of the gross profit margin to *PPS*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The gross profit margin in 2022 was 25.6% and in 2023 29.4% • Between 2022 and 2023 the GPM increased by 3.80% **AO3** • *PPS* can see that the increase indicates a healthy financial position with a positive increase and this may help in business decisions they have to make for following years • Figures such as this can be used to compare year on year performances and check changes in profitability	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Product life cycle and extension strategies

Answer 7 of 10 · Question 1 part d · 1 mark

2024 JUN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	State **one** advantage for *PPS* of keeping its customers loyal. **Answer**	**Mark**

Type MS · Product life cycle and extension strategies

Answer 8 of 10 · Question 1 part a.iii · 1 mark

2025 NOV · Paper 01 · extract 1 of 9 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C –** Sales promotion **A** – is not the correct answer as workforce planning is a role within the human resources function **B** – is not the correct answer as quality control is a role withing the production function **D** – is not the correct answer as training employees is a role in the human resources function	**(1)**

Question Number	Which **one** of the following is an example of a non-financial method of motivation? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is D –** Job rotation **A** – is not the correct answer as a bonus is a financial method of motivation **B** – is not the correct answer as remuneration is a financial method of motivation **C** – is not the correct answer as fringe benefits are financial methods of motivation	**(1)**

Type MS · Product life cycle and extension strategies

Answer 8 of 10 · Question 1 part a.iii · 1 mark

2025 NOV · Paper 01 · extract 2 of 9 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following is a phase of the product life cycle? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is A** – Introduction **B** – is not the correct answer as a cash cow is a phase of the Boston matrix **C** – is not the correct answer as a dog is a phase of the Boston matrix **D** – is not the correct answer as a star is a phase of the Boston matrix	**(1)**

Question Number	Which **one** of the following is an example of a public service provided by the government? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is B –** Police force **A** - is not the correct answer as a clothing retailer is not a public service **C** – is not the correct answer as a mobile phone provider is not a public service **D** – is not the correct answer as a grocery store is not a public service	**(1)**

Type MS · Product life cycle and extension strategies

Answer 8 of 10 · Question 1 part a.iii · 1 mark

2025 NOV · Paper 01 · extract 3 of 9 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following is the interest charged by the bank on an overdraft of €1 400? **Answer**	Mark
1 (a)(v)	**AO1 - 1 mark** **The only correct answer is B –** €168 **A** – is not the correct answer as €140 is 10% of €1 400 **C** – is not the correct answer as €1 388 is €1 400 minus 12 **D** – is not the correct answer as €1 568 is €1 400 plus 12%	**(1)**

Question Number	Which **one** of the following is the percentage change in the total costs between 2022 and 2023 **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C –** 10.53% **A** – is not the correct answer as 0.90% is 380 000/420 000 **B** – is not the correct answer as 9.52% is 40 000/420 000 x 100 **D** – is not the correct answer as 90.48% is 380 000/420 000 x 100	**(1)**

Question Number	Define the term **primary sector.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **primary sector.** • Businesses involved in the extraction of raw materials	**(1)**

Type MS · Product life cycle and extension strategies

Answer 8 of 10 · Question 1 part a.iii · 1 mark

2025 NOV · Paper 01 · extract 4 of 9 · find part a.iii in this mark scheme extract

Question Number	Define the term **shareholder.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **shareholder.** • Anyone who buys a share in a business **(1)**	**(1)**

Question Number	State **one** benefit to *Ocean Vibes* of using competition pricing. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a benefit to *Ocean Vibes* of using competition pricing. • *Ocean Vibes* may attract sales from other boat tour businesses **(1)** **NB** Do not accept a benefit that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Type MS · Product life cycle and extension strategies

Answer 8 of 10 · Question 1 part a.iii · 1 mark

2025 NOV · Paper 01 · extract 5 of 9 · find part a.iii in this mark scheme extract

Question Number	Calculate the price of the boat tour in UK pounds (£). You are advised to show your working. **Answer**	Mark
1 (e)	**A02 - 2 marks** Award 2 marks for the correct answer. £57 **(2)** OR Award 1 mark for working 60 x 0.95 **(1)**	**(2)**

Type MS · Product life cycle and extension strategies

Answer 8 of 10 · Question 1 part a.iii · 1 mark

2025 NOV · Paper 01 · extract 6 of 9 · find part a.iii in this mark scheme extract

Question Number	Explain **one** advantage to an individual of being a sole trader. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage to an individual of being a sole trader plus 2 further marks for explaining the advantage for a maximum of 3 marks. • The individual has complete control over the business **(1)** as they make all the decisions for the business **(1)** therefore decisions for the business can be made quickly **(1)** • The individual keeps all the profits **(1)** as they have no partners/shareholders within the business **(1)** which means that they can increase their personal wealth **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to an individual of being a sole trader with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Product life cycle and extension strategies

Answer 8 of 10 · Question 1 part a.iii · 1 mark

2025 NOV · Paper 01 · extract 7 of 9 · find part a.iii in this mark scheme extract

Question Number	Analyse why *Ocean Vibes* should measure employee satisfaction. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Measuring employee satisfaction at *Ocean Vibes* will help it to retain its tour guides who operate the dolphin and bird tours • If employees at *Ocean Vibes* are satisfied, they will be motivated to provide good quality boat tours **AO3** • This will reduce recruitment and training costs for *Ocean Vibes* which may lead to higher levels of profitability • This may lead to good reviews from customers which may encourage good recommendation and increased sales	**(6)**

Type MS · Product life cycle and extension strategies

Answer 8 of 10 · Question 1 part a.iii · 1 mark

2025 NOV · Paper 01 · extract 8 of 9 · find part a.iii in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Product life cycle and extension strategies

Answer 8 of 10 · Question 1 part a.iii · 1 mark

2025 NOV · Paper 01 · extract 9 of 9 · find part a.iii in this mark scheme extract

Question Number	State **one** fixed cost *Ocean Vibes* is likely to pay. **Answer**	**Mark**

Type MS · Product life cycle and extension strategies

Answer 9 of 10 · Question 1 part f · 3 marks

2021 JUN · Paper 01 · extract 1 of 7 · find part f in this mark scheme extract

1 (a) (i)	AO1 - 1 mark **1 (a) (i) The only correct answer is C** **A** is not correct because personal savings are an internal source of finance **B** is not correct because retained profit is an internal source of finance **D** is not correct because selling assets is an internal source of finance	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	AO1 - 1 mark **1 (a) (ii) The only correct answer is B** **A** is not correct because penetration pricing is where a business sets a low price for a new product **C** is not correct because competition pricing is where a business sets a price for a product in line with its competitors **D** is not correct because promotional pricing is where a business lowers the price of a product for a short time	**(1)**

Type MS · Product life cycle and extension strategies

Answer 9 of 10 · Question 1 part f · 3 marks

2021 JUN · Paper 01 · extract 2 of 7 · find part f in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iii)	AO1 - 1 mark **1 (a) (iii) The only correct answer is A** **B** is not correct because discrimination by ability is not protected by legislation **C** is not correct because social discrimination is not protected by legislation **D** is not correct because ethical discrimination is not protected by legislation	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	AO1 - 1 mark **1 (a) (iv) The only correct answer is D** **A** is not correct because a curriculum vitae would be sent to the employer **B** is not correct because a letter of application would be sent to the employer **C** is not correct because a newspaper advertisement would be used to advertise the job vacancy	**(1)**

Question Number	Answer	Mark
1 (a) (v)	AO2 - 1 mark **1 (a) (v) The only correct answer is B** **A** is not correct because it is the exchange rate in euros **C** is not correct because it is the cost of 1kg of dried fruits **D** is not correct because it is the cost of 1kg of dried fruits added to the exchange rate of the euro	**(1)**

Type MS · Product life cycle and extension strategies

Answer 9 of 10 · Question 1 part f · 3 marks

2021 JUN · Paper 01 · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Answer	Mark
1 (a) (vi)	AO2 - 1 mark **1 (a) (vi) The only correct answer is C** **A** is not correct because it is the cost of a jar of honey formatted as a percentage **B** is not correct because it is the selling price of a jar of honey minus the cost of a jar of honey as a percentage **D** is not correct because it is double the mark up of a jar of honey	**(1)**

Question Number	Define the term profit Answer	Mark
1 (b)	AO1 - 1 mark Award 1 mark for a correct definition of profit. • Total revenue – total costs (1).	**(1)**

Question Number	Define the term non-current liabilities Answer	Mark
1 (c)	AO1 - 1 mark Award 1 mark for a correct definition of non-current liabilities. • Debts that are payable after 12 months (1).	**(1)**

Type MS · Product life cycle and extension strategies

Answer 9 of 10 · Question 1 part f · 3 marks

2021 JUN · Paper 01 · extract 4 of 7 · find part f in this mark scheme extract

Question Number	State one reason why NOF segments its target market by income Answer	Mark
1 (d)	A02 - 1 mark Award 1 mark for a reason why NOF segments its target market by income. • NOF can sell higher priced organic products to people staying at the farm (1). Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	A02 - 2 marks 90 – 10 = 80 (1) 80/160 x 100 = 50 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Product life cycle and extension strategies

Answer 9 of 10 · Question 1 part f · 3 marks

2021 JUN · Paper 01 · extract 5 of 7 · find part f in this mark scheme extract

Question Number	Explain one strategy a small business might use to extend the product life cycle of one of its products Answer	Mark
1 (f)	A01 - 3 marks Award 1 mark for identification of a strategy of extending a product life cycle, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Local advertising could extend the life cycle of a product (1). A small business could deliver leaflets to the local area to increase customer awareness of a product (1) leading to a potential increase in sales (1). NB Answers that list three strategies with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Question Number	Analyse the importance of marketing to NOF Indicative content	Mark
1 (g)	AO2 = 3 marks AO3 = 3 marks AO2 • Result from marketing would enable NOF to adapt its overnight accommodation to what the customers want. • Marketing can be used to make customers aware of its organic honey. AO3 • This may lead to increased bookings for the overnight accommodation. • Sales of organic honey may increase.	**(6)**

Type MS · Product life cycle and extension strategies

Answer 9 of 10 · Question 1 part f · 3 marks

2021 JUN · Paper 01 · extract 6 of 7 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Product life cycle and extension strategies

Answer 9 of 10 · Question 1 part f · 3 marks

2021 JUN · Paper 01 · extract 7 of 7 · find part f in this mark scheme extract

Question Number	State one external factor that could cause a change in demand for NOF products Answer	Mark

Number	Answer	
3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **variable costs**. • Costs that vary as output levels change **(1)**	**(1)**

Question Number	Outline **one** way *Aude Rose* could extend the product life cycle of one its products. **Answer**	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a way *Aude Rose* could extend the product life cycle of one of its products, plus 1 further mark for linking it to the context of the question. • *Aude Rose* could lower the prices of its least popular flowers **(1)** encouraging sales of that variety over other flowers **(1)** **NB** Do not accept a way that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate, to two decimal places, the percentage decrease in retained profits from 2021 to 2022. **Answer**	**Additional guidance**	Mark
3 (c)	**A02 - 2 marks** 16 260 – 12 594 = 3666/16260 x 100 **(1)** = 22.55 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Product life cycle and extension strategies

Answer 10 of 10 · Question 3 part b · 2 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Analyse the impact on *Aude Rose* of using its retained profits for this proposed development. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By using retained profit *Aude Rose* can buy the flowers straight away • Retained profit can only be used to buy a wider range of flowers if it exists **AO3** • This source of finance does not need to be paid back so any profit made from the new flowers can go back into the flower shop business • There is no guarantee that *Aude Rose* will have enough profit to buy this new range of flowers so may have to wait to accumulate more retained profits	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Product life cycle and extension strategies

Answer 10 of 10 · Question 3 part b · 2 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	*Aude Rose* is considering two options: **Option 1:** hand out questionnaires to customers that visit the shop **Option 2:** using the internet to research new trends. Justify which **one** of these two options *Aude Rose* should choose. **Indicative content**	**Mark**
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By using questionnaires *Aude Rose* could get feedback straight away from customers when buying flowers in the shop • **Option 2** – *Aude Rose* can view a large selection of flower-based websites **AO3** • **Option 1** – The feedback might give the business more information about what the customers want from the flower shop and changes as trends develop • **Option 2** – It will be less time consuming as it can find the exact information it is looking for and compare it to the types of flowers it currently offers **AO4** • **Option 1** – However, customers may not know about the new trends so cannot give any constructive feedback on the purpose of the research being conducted • **Option 2** – However, whilst this research can give information about up-and-coming trends it gives no specific information on the demand for the new trends by its existing customers so could be a waste of time	**(9)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Product life cycle and extension strategies

Answer 10 of 10 · Question 3 part b · 2 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Product life cycle and extension strategies

Answer 10 of 10 · Question 3 part b · 2 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Calculate, to two decimal places, the gross profit margin. **Answer**	Additional guidance	Mark